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Sinkhole*

Grace Chang

CEO/Customs consultant

“
I also hope that their empty hearts will
be filled with living water and that they
will be able to stand up strong.
”



An accident occurred in downtown Seoul where a road sank into the ground and a person riding a motorcycle fell underground. A large sinkhole in the ground was formed measuring 18m wide, 20m long, and 20m deep. The person who was riding a motorcycle was found buried in a pile of silt underground the next day. In the 10 years from 2014 to 2023, 2,085 sinkholes opened up nationwide.

A sinkhole is a large hole formed in the ground when the ground suddenly sinks. It generally occurs when underground water drains or an empty space is created underground due to soil erosion.* In limestone areas, it occurs naturally when groundwater dissolves limestone. However, recently, man-made causes such as excessive use of groundwater or underground excavation work is being pointed out as the cause. In Korea, where most of the country is made up of hard granite and gneiss layers, empty spaces rarely form in the ground. Fortunately, this is why sinkholes in our country are considered quiet.**

Historically, sinkholes have existed for a long time and occur in many countries around the world. In Guatemala, a hole as deep as 100 meters was created and about 20 houses were sucked in. In the United States, about 35 to 40% of the total area is made up of limestone and dolomite, so there are many cases of large and small sinkholes. Last February in Maranhao State, Brazil, a large sinkhole 500m wide was created.

It's happening all over the world. Measures to prevent sinkholes include managing aging infrastructure, changing land use practices, and responding to increasingly severe climate change. It is said that it is urgent to develop improvement measures by integrating all hidden geological, geotechnical, and urban planning perspectives.***

Ideal and Reality for this month is 'Understanding and Responding to Trump's Tariff Shock As of April 10, 2025', Analysis on Recent Customs Judicial Precedent covers 'Jeonju District Court 2018. 2. 14. Sentence 2016 Guhap 1766 Summary of Judgment [Case Name: Cancellation of Customs Imposition]', and HS case solved by logic reports 'How to Utilize the General Rule Through the Tempered Glass Classification Case (Tribunal 2023 0099)', Global Customs Insight is 'Reciprocal Tariff implemented in the U.S. from April 5' and FTA and import/export practical business guide is 'Why Does the Customs Attorney Ask the Information Required for Export Declaration?', Contents and Opinion of Customs Trade amendment Covers '[Notice on Refund Following Reduction of Individual Automobile Consumption Tax]'

Many things in the world happen without us knowing. However, these things did not happen by chance, just because we were unaware of them. A lot of things have been going on and accumulating behind the scenes until we see them before our eyes and until we become aware of them. There must have been many hints, cautions, and warnings to inform us.

Why didn't we know about those precautions, warnings, and hints? Why didn't we notice those? Have we been deaf and blind in efforts to satisfy our greed and protect our pride? Isn't it true that we don't have room or space to accept other people's pain because our mind and body are filled with greed and pride?

We can see the sudden collapse of a family, society, or individual life that seemed glamorous and happy on the outside. Just as the groundwater dries up, we are unaware that anxiety and cracks form inside and a hole begins to open up. We overlook the hints that appear on the outside and repeat only temporary remedies, we end up with a huge hole.

In Henrik Ibsen's play 'A Doll's House' published in 1879, the female protagonist, Nora, talks about a sinkhole-like phenomenon that has befallen her. "Now we have to settle things with each other. We haven't had a serious conversation in eight years." She talks about how her life, which she lived like a doll behind a seemingly stable life, is cracking and falling apart.

In the modern reinterpretation of 'A Doll(s)'s House', Nora is a famous SNS influencer. She is a successful businesswoman and has a seemingly perfect and happy family. It is a life that everyone would envy. Nora is seemingly having a glamorous and perfect life. However in reality, she is trapped by the gaze of her husband and society and lives with her desires suppressed. Nora's inner self becomes hollow due to various social pressures and feelings of isolation.

If droughts last long due to a climate change or if groundwater is used excessively, the groundwater surface falls and the empty space in the ground cannot withstand the weight of the ground and collapses. This is because the pressure that groundwater bears is transferred to the empty space. It is the same as the city's gorgeous buildings that appear to be standing safely, there is an empty space underground that may collapse at any time.

Our hearts must also be filled with clean groundwater. We must have the strength to withstand external pressures such as social pressure and isolation. When our solid hearts are filled with clean water, we can live life fully. As the continuously supplied clear water circulates and flows out, it maintains its purity. Stagnant water that does not flow out can turn into rotten water, which can harm the heart and cause deeper illness. Our hearts waver and flutter every moment, but if we are full of clean water, will there be cracks in our lives? If we had a constant supply of living water, would there be an empty space in our heart?

There are people who try to look as glamorous as glass with an empty heart. There are people who cannot withstand the pressure of the world and break down, clutching their wounds. If we are full of living water, we must be sensitive to the pain of others. We shouldn't overlook the hints they send.

I hope the free living water fills our hearts and overflows to our neighbors. I hope that the living water that flows to our neighbors can also heal their wounds and pain. I also hope that their empty hearts will be filled with living water and that they will be able to stand up strong.

I hope you have a day of gratitude and joy.

*Park Jong-gwan. (2018.09.05). 'Why do sinkholes form?', KISTI's Science Scent,

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Ideal and Reality

Understanding and Responding to Trump's Tariff Shock As of April 10, 2025

Due to the Trump shock, all companies are being driven to a situation where no countermeasures are possible. In the early morning of April 10, 2025, it was decided that all countries except China would be imposed 10% reciprocal tariffs, and China would be imposed higher tariffs. It is difficult to distinguish between the pros and cons of Trump's decision. Nevertheless, it is confirmed that it is a trade war between China and the United States. Even if America's Trump and China's Xi Jinping compromise dramatically, the prevailing view is that the era of 0% tariffs on goods exported to the United States will not come.



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It is clear that the spring of 2025 will be recorded as an important event in world economic history. The rate of reciprocal tariffs in Trump's second term is so high that no country, company, or household can afford them, so they may be lowered or disappear at some point, but even if they are maintained for only a few months, they will destroy the lives of not only countries, businesses, and households around the world, but also businesses and households in the United States for at least 5 to 10 years. During the Nixon Shock in 1971, the dollar was devalued for just four months and a 10% tariff was imposed for four months, but the economic downturn continued until 1980.

The sad reality has arisen that import/export managers of companies around the world must know the tariff rates imposed by the United States and the U.S. tariff system in detail.

I . Method to impose reciprocal tariffs in the United States

First, let's take a look at the tariff rates imposed by the United States, focusing on Chinese and Korean products. The fact that more people are asking questions about how to calculate tariffs on Chinese products means it can be expected that there are many products developed in Korea and produced in China.

First, let's take a look at the main log of Trump's tariff imposition.

▲ February 4 = Additional 10% tariffs on China take effect in the US.

▲ March 4 = 25% tariffs take effect on Canada, and Mexico and 10% tariff has been added to China, resulting in a total tariff of 20% in the United States.

▲ March 12 = The United States imposes a 25% tariff on steel and aluminum imports from around the world.

▲ March 26 = President Trump announced a 25% tariff on foreign cars and auto parts starting April 3.

▲ April 2 = President Trump announces a 'reciprocal tariff' plan that will impose a basic tariff of 10% on imports from all countries around the world starting April 5, and additional tariffs for each country set in consideration of tariff rates and non-tariff barriers to the United States starting April 9.

Tariff rates for major countries are set at 25% for Korea, 34% for China, 20% for the European Union (EU), 46% for Vietnam, 32% for Taiwan, 24% for Japan, 26% for India, 36% for Thailand, and 31% for Switzerland.

Steel, aluminum, and automobiles, for which 25% tariffs have already been imposed (effective on the 3rd), will remain at 25% tariffs without applying reciprocal tariffs. For Canada and Mexico, which have signed the United States Trade Agreement (USMCA), tariffs will continue to not be applied to items subject to USMCA.

▲ April 10 = Reciprocal tariff will be suspended for 90 days for countries other than China, China will be increased to 125%, and 10% basic tariff will be imposed on other countries.

1. US tariffs on Chinese products

There are many products in which brands and products are developed by companies in Korea, produced in China, and exported to the United States. Some are supplied as parts to places such as Vietnam, and the final products are exported to the United States.

If you export Chinese products after the reciprocal tariffs go into effect on April 9, 2025, you first need to understand the following tariffs.

① There is a basic tariff (MFN. Most favored nation). This is the basic tariff rate under the WTO system. If it is applied low to one country, it must also be applied low to other countries.

② This is an additional tariff (section 301 of the trade act of 1974), which is a tariff of 7.5% to 25% on Chinese products from 2018 in response to intellectual property infringement and forced technology transfer.

③ (Tariffs of steel and aluminum products by item) For steel and aluminum products, 25% is imposed on all countries as per Article 232 of the Trade Expansion Act (TRADE EXPANSION ACT OF 1962 for national security reasons).

④ (Reciprocal tariffs by country) For Chinese products, 84% is imposed by adding 50% on April 9 to 34%. a 25% tariff is imposed on Korea, and a 10% universal tariff is imposed from April 5 to April 8. In other words, from April 9, universal tariffs will be replaced by reciprocal tariffs. When a 25% tariff is imposed on steel and aluminum products, no reciprocal tariffs are imposed by country.

⑤ A tariff of 10% + 10%, 20% is imposed on China in relation to the issue of importing fentanyl raw materials, which are called zombie drugs.

▶ For Chinese products, tariffs of 1.2.3.5 are added for steel and aluminum products, and for other products, tariffs of 1.2.4.5 are added.

▶ On April 10, the reciprocal tariff against China was increased to 125%. The tax rate is determined through consultation between China and the United States, and will be higher than the basic tariff of 10%. The 20% fentanyl tariff is negotiable, and there is a possibility that the high reciprocal tariffs will eventually be lowered through negotiations.

2. Tariff rates on Korean products

Korean products are subject to ① basic tariff (MFN) or FTA tariff and ④ 25% reciprocal tariff for each country.

③ Steel, aluminum products, and automobile parts are subject to a 25% tariff that does not overlap with the reciprocal tariff.

II. Pressure on export companies to reduce unit prices in trade with the United States

Since all countries have received a 90-day moratorium on reciprocal tariffs, we will have to monitor negotiations between countries in the meantime and export considering that the 10% basic tariff will be maintained for the time being. The 25% tariff on steel, aluminum, automobiles, and critical automobile parts is likely to remain in place. It seems that the imposition of the above tariffs should be considered as a fait accompli and that the export price should be negotiated with the importer, and if the importer is a related party, the price should be determined.

Let's watch the negotiations between governments and find out what the current situation is.

1. Pressure to cut prices on companies exporting finished products to the United States

Companies exporting to the U.S. receive requests from U.S. importers to reduce export prices to reduce the burden of tariffs, and discussions are underway on the request.

The United States adopts the FOB principle for INCOTERMS, so the taxable price can be set based on the FOB price of the exporting country. Previously, the United States paid little attention to the price of imports into the United States when there were no tariffs. This is because the United States does not have a federal import value-added tax. Instead, the United States operates an indirect tax system in the form of sales tax at the state and local government levels.

There are cases where the importer requests to change the terms of the transaction to DDP, where tariffs are borne by the exporter, but this must be carefully reviewed and negotiated. Caution must be taken because changing the terms of the transaction to DDP conditions and having the exporter bear the tariff while leaving the export price the same will not raise the US import price as Trump intended, but rather the exporter will bear the tariff. A customs expert from the U.S. says DDP is convenient, but it is a request from the U.S. importer's perspective. Since the state is ultimately a passive tax collector, it does not matter whether the tax burden is borne by the importer or the exporter. From the exporter's perspective, of course, it would be better for the importer to bear the tariff and not lower the export price.

When an exporter and an importer negotiate over the U.S. tariff rate, they must estimate how much the U.S. import seller or local affiliated company can raise the selling price in the U.S.

For the time being, efforts must be made to ensure that supply can be continued while enduring the damage, even if both sides' profits decrease. Because the tariff situation is changing so rapidly, it is necessary to add a clause in the trade contract to allow for the possibility of adjusting the export price after the fact according to changes in the tariff rate situation.

2. Pressure to reduce unit price when parts are supplied to large corporations and finished products are exported

Korea's leading companies, such as Hyundai Motors and Samsung Electronics, are planning a pricing policy in which they will not raise their selling prices in the United States in response to the increase in reciprocal tariffs, but rather bear the amount of the tariff increase by lowering export prices. It seems like they judge that 25% is a level that can be tolerated with enough effort.

In the case of large companies that are still competitive, they may be able to survive for a certain period of time by lowering export prices without raising the final selling price in the U.S. through retained earnings or reserve funds. However, if large companies ask their first-tier suppliers to share the pain of price cuts, it is highly likely that most small and medium-sized companies that supply in succession to the second and third stages will find it difficult to endure. Since the parts included in the finished product are also exported to the United States, they are requesting that the delivery price be reduced accordingly.

Those in charge of finished products at large companies will be busy rewriting manufacturing cost statements. It will be more difficult because it is not math. Currently, in the case of products manufactured in Korea with an expected reciprocal tariff of 25%, large companies are likely to request that the supply prices of raw materials, parts, and OEM products be reduced by more than 30%. Vietnam's reciprocal tariff is 46%, so it is likely to be higher. If a 25% tariff is imposed on finished products, the 25% tariff will affect not only the cost of purchasing parts but also the cost of assembly and logistics, so there is a possibility that it will put pressure on suppliers of all goods and services to reduce costs. In cases where costs are simply impossible, it is difficult to pressure a reduction, and greater reductions in delivery prices will be requested in the places where possible.

The labor costs of small and medium-sized companies are much lower than those of large companies, but if more innovation is required here and the wage gap widens, the labor shortage in small and medium-sized companies in Korea will increase. Large corporations themselves must set an example to overcome this crisis by reducing costs, including labor costs. Unlike global companies, we cannot lead our country's flagship companies forever at the expense of small and medium-sized companies. It is not unknown that there is nothing we can do because the government is making things more difficult for large companies, but the large companies need to make a clear voice and persuade the government and the National Assembly not to force large companies to make things difficult. There are many cases in our country where large companies are forcing small and medium-sized companies to make sacrifices. Of course, there are coexistence activities, but if you look at the wage difference alone, coexistence is often only partial.

3. Pressure to reduce unit prices when exporting products manufactured in China to the United States

Products developed in Korea and produced in China are products made in China. Whether exported via Korea or directly through China, it is determined to be Chinese products and subject to high tariffs. In the current situation, as seen above, a reciprocal tariff of 125% is applied. Even if the US-China negotiations between Trump and Xi Jinping are completed, higher tariff rates than now will inevitably be imposed. In order to maintain the current selling price of Chinese products in the United States, exports must be made at a price more than 50% lower than the current export price, which puts us in an impossible and unrealistic situation.

There is no choice but to export at a loss, but rather than that, efforts should be made to raise the selling price in the United States. If tariffs are imposed, sales prices in the United States will naturally increase, and prices of goods produced in the United States will also increase.

In 2004, as Korea strengthened the customs review of Chinese agricultural products, the prices of Chinese agricultural products increased in the domestic market, and at that time, the prices of Korean agricultural products were also higher. Ultimately, if the US import price increases, it is thought that the American people are likely to purchase US products at lower prices, but in the case of similar products, when the price of Chinese products rises, the price of US products also increases, which is a general free market. It is clear that domestic selling prices of American products will rise unless controlled. Since other variables always exist, you must set your direction by following the market price.

III. Consideration to exclude US tariffs

There may not seem to be many ways to reduce tariffs, but many efforts can be made within the framework of the U.S. tariff system.

1. Item classification review (Classification Engineering)

U.S. Customs and Border Protection (CBP) can impose taxes and duties on goods in the as-imported condition only, and can legally utilize classification provisions that result in lower or duty-free rates. For example, if components are imported separately, they may fall into a completely different classification than the finished product, thereby avoiding higher tariffs. Reviewing the classification of export goods becomes more important.

2. Utilization of HTSUS Chapter 98 Provisions

The concept of item classification is particularly useful for **HTSUS Chapter 98 Provisions Corresponding to production or procurement scenarios involving purpose-built products or US-made/imported components**. These provisions allow importers to avoid paying higher tariffs **partially or completely**.

1. Re-imported products from the United States (Subchapter I)

- **9801.00.10**: When products manufactured or produced in the United States are exported and **reimported without modification, tariff exemption** is applicable. (Example: When parts made in the U.S. are brought back in after being exhibited overseas)
- Conditions: It must be proven that the country of origin is the United States and that it has not been processed after export.

2. Items returned for repair or replacement (Subchapter I)

- **9801.00.25 / 9801.00.26**: When goods exported outside the United States for repair are re-imported, **tax-exemption or partial tax-exemption is** possible under certain conditions.

3. Temporary import goods (Subchapter XIII)

- **9813.00.05 ~ 9813.00.75**: For goods that are **imported for temporary use** and are re-exported within a certain period of time, **tariff deferral is** applicable. (e.g. for display, testing, processing purposes, etc., generally with the condition of **re-export within 1 year** (extendable))

4. Belongings of U.S. immigrants and travelers (Subchapter XI, etc.)

- When personal belongings, immigrant property, traveler's souvenirs, etc. meet certain criteria, the application of **tax-exemption or duty-free limits is** possible.

5. Special purpose goods

- **9802.00 series**: When re-importing American parts after processing or assembling them overseas, **Tariff is exempt for U.S. products**, levying tariffs only on overseas processing costs.

- Example: If camera lens parts produced in the United States are assembled in Vietnam and then re-imported, the cost of the parts is tax-free.

3. Determination of origin (Origin Engineering)

CBP determines that when numerous parts, modules, or subassemblies are complexly assembled and produced using dedicated machines, substantial transformation has occurred in the components, and in this case, the country in which the finished product was produced is considered the country of origin. Moving these assembly operations to countries where higher tariffs do not apply can be a valid avoidance strategy. Unfortunately, these rules vary from product to product, so each production step must be examined in detail to determine whether it constitutes a substantial modification. To review the substantial transformation in the United States are determined in distinctive ways unlike WTO unified regulations on the place of origin

① Change in essential characteristics (New Name, Character, or Use Test)

Evaluate whether any of the **New name, character, use** of the product have fundamentally changed compared to the raw materials. If it is considered a new product, **substantial transformation is recognized**.

- ✓ Steel plate → car door: **Because it has new uses and forms**, substantial transformation is **recognized**
- ✓ Coffee beans → Roasted coffee: **Name and nature do not change much**. Substantial transformation is **not recognized**.

② Change in Tariff Classification (CTC) may also be applied.

Confirm if HS code (HTSUS standard) between raw materials and final product **has changed meaningfully**. **Substantial changes are not recognized solely by changing the tariff classification number, and changes in essential features must also be reviewed.**

③ Importance of manufacturing/processing (Extent of Processing)

Simple assembly or light processing is not recognized.

Confirm if key manufacturing operations are conducted in the United States.

Simple cutting, packaging, assembly, etc. are not substantial modifications.

- ✓ Raw materials (China) → assembly only in the U.S.: Substantial transformation **not recognized**
- ✓ Raw materials (China) → Production and assembly of core parts in the United States: Substantial transformation **recognized**

We hope you understand that the United States' origin determination standards are different from Korea's or WTO's standards and vary greatly depending on the judgment of the U.S. CBP.

4. Access to Free Trade Agreements (FTAs) and Preference Programs

The United States has 14 free trade agreements (FTAs), including with major trading partners such as Canada, Mexico, Korea, and Australia. We must further strive to increase the application of the Korea-US FTA and increase the application of the FTA between manufacturing countries and the United States.

5. Review of Miscellaneous Trade Bills (MTBs)

Miscellaneous Trade Bills (MTBs) **temporarily reduce or waive import duty for** products that cannot be manufactured in the United States. The most recent MTB **expired in December 2020 and it is a valid option since new legislation is likely to be approved in the 119th Congress.**

6. Review Exclusions

More than 150 items of Chinese origin (see Annex C of this notice) are still **excluded from existing Section 301 tariffs on Chinese products.** The Office of the United States Trade Representative (USTR) is **receiving the opinion** about the possibility of exclusion **for hundreds of detailed items in HTSUS Chapters 84 and 85 until March 31, 2025.**

It is worth considering as a coalition came into operation calling on USTR and Congress to re-establish extensive exclusion procedures, renew expired exclusions, and provide retroactive coverage.

IV. Consideration to ease US tariffs

1. Review application of First Sale Rule (difficult and arduous attempt)

According to this rule, the price of goods subject to tariffs can be reported based on the initial selling price rather than the final selling price.

The First Sale Rule is a system used only in the United States. It is a rule that allows tariffs to be calculated based on the initial sale price when a product imported into the United States goes through several stages of transaction (multiple transaction structure).

This is possible when the tariff rate is high, the brokerage company's margin is large, or the volume is large based on FOB (FOB) terms.

In addition, a strategy can be used to lower the initial price by reorganizing the supply chain and transferring some of the non-dutiable value borne by the manufacturer to an intermediary.

Because legal requirements and document preparation are difficult, not many companies actually apply it.

U.S. Customs and Border Protection (CBP) recognizes the First Sale Rule only if the following requirements are met:

- **Bona Fide Sale** There must be an actual transaction between the manufacturer and the intermediary, and transfer of ownership must occur.
- **Independent Transaction (Arm's Length)** **The manufacturer and broker must be unrelated, or if they are, they must meet the conditions for an independent transaction.**
- **Clear purpose of export to the US ("Clearly Destined" for the US)**- At the time of the first transaction, it must be clear that the product is for export to the United States, it must be manufactured to the specifications of the U.S. importer, and it must be shipped directly to the United States.
This rule can be especially effective when brokerages exist, margins are large, and the First Sale Rule is not yet in effect. This is an area that cannot be easily applied because CBP strictly reviews applicability, so effort is needed.

2. Taxable value of imported goods (Valuation)

Exporters should consider the following:

- 1.Among the amounts normally included in the price, can purchase fees, transportation-related costs, inspection fees, post-import assembly costs, etc. be excluded from taxation?**
- 2.When dealing with related parties, is it possible to reduce the taxable amount by utilizing transfer pricing rules?**
- 3.If you use Amazon FBA service, you must reexamine the tax value determination. (This part requires a separate session.)**

What export companies are concerned about is that they would normally report high prices because there were no tariffs previously, but if they suddenly lower the export price, they may be investigated by the U.S. CBP. Once you prepare explanatory materials well, you will be able to explain past import price records.

3. Trade Remedy Reviews

The United States maintains more than 700 **Anti-Dumping (AD)/Countervailing Duty (CV) Order**, which imposes significant or **huge tariffs**.

Annual Administrative Review for updating information based on these orders or **new exporter reconsideration for** foreign companies that did not participate in the original survey can be **an effective way to obtain lower tariff rates**.

Importers may also ask for **scope ruling** and changed circumstances reviews** to exclude certain goods from the order, and through this, applicable AD/CV tariffs **can be removed**.

4. Duty Deferral

Products entered into a foreign trade zone (FTZ) with privileged foreign status, even if the products are processed into products subject to higher tariffs, **maintain the nature and tariff classification at the time of receipt**. In Korea's customs law, it is called raw material taxation. If this product is **exported** outside of the United States, **higher tariffs can be avoided**. Besides that, after going through operations such as **storage, manipulation, packaging and labeling in bonded warehouse for up to 5 years**,

1. exported or
 2. destroyed or
 3. Imported into the United States after tariffs have ended or exclusions have been applied
- Paying customs duties can be avoided.**

Temporary bonded import (TIB) makes **avoidance of high tariffs on processed or transit goods for export** possible.

5. Strategies to Recover Tariffs

Refunds

Lawsuit, first raised in 2020 involving **thousands of importers, alleges that Section 301 tariffs were unfairly imposed on List 3 and List 4A items from China**.

In March 2023, the International Trade Court of the U.S. took **the government's side**. The current case is **Pending before the Court of Appeals for the Federal Circuit (CAFC)** and a ruling could be made this year. The company that imported the item can still participate in litigation to **preserve refund potential** and there is **possibility of refund even for goods for which exclusion is valid**. Normally it will be lower.

6. Transfer Pricing

Transfer pricing is e.g. **Prices when trading goods and services between headquarters and subsidiaries**
Retroactively adjusted transfer price is generally **Included in the taxable value of already imported goods** and there are reporting **obligations to CBP**.

In this case, if the taxable value increases as a result of the adjustment, the importer needs to **pay additional customs duties**, and if it decreases, **the application for customs refund** may be possible. It operates a transfer pricing tariff evaluation system that is different from Korea. Although it is the same in the grand scheme of things, the detailed procedures are different, so the results may be different. However, for this adjustment to be effective, **related procedures and processes must be in place in advance and must comply with CBP regulations**.

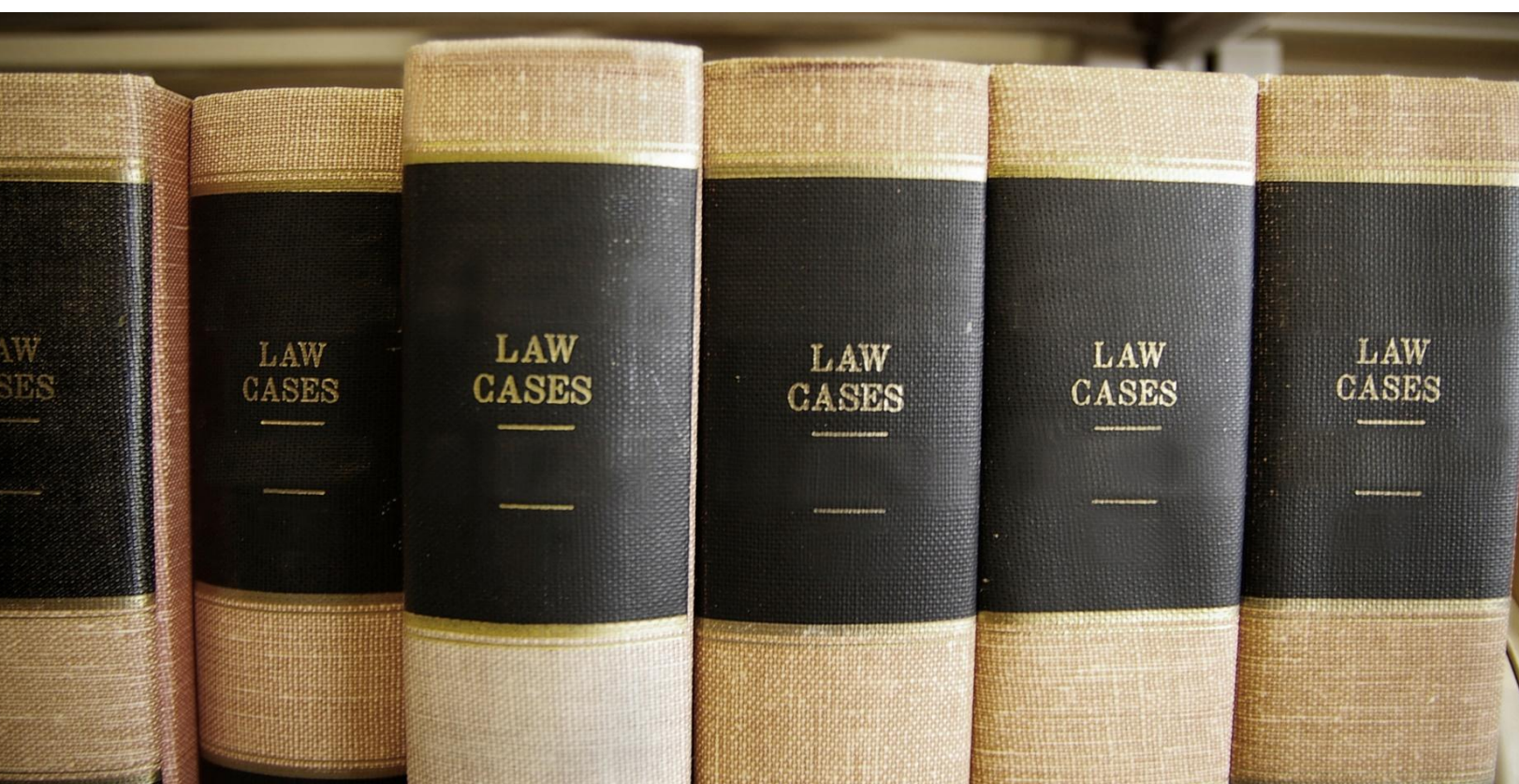
7. Reconciliation

Through CBP's **Adjustment Report Program**, the importer can do the **priority report**, and then **submit an adjustment report based on accurate information**.

Items that can be adjusted are as follows: product classification, taxable value, HTSUS 9802 value, and FTA eligibility.

In the adjustment report, if **priority classification, lower tax value, or FTA application are** reflected, **refund of overpaid duties and taxes** can be received.

Let's keep in mind the substantive transformation, Bona fide sale, and first sale rule. There are still many uncertainties regarding the imposition of reciprocal tariffs, so consider applying for e-Ruling with the U.S. CBP or applying for ruling directly through a U.S. customs expert.



Analysis on Recent Customs Judicial Precedent
Jeonju District Court 2018. 2. 14. Sentence 2016 Guhap 1766
Summary of Judgment
[Case Name: Cancellation of Customs Imposition]

1. Issue

Verify whether the transaction value of the declared goods meets the customs valuation standards, whether it is legal for the Korea Customs Service to deny the declared value and recalculate the customs value, and review the impact of the relationship between the importer and overseas supplier on the determination of the customs value.



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2. Facts

Plaintiff 1 (importer) imported fresh ginger (341 tons of small ginger, 691 tons of larger ginger) from overseas and declared imports a total of 51 times at prices ranging from US \$330 to US \$610 per ton. Plaintiff 2 received from Plaintiff 1 96 tons of large ginger that Plaintiff 1 had planned to import from an overseas company, imported it four times in total, and declared the imports at US \$550 per ton.

The head of the customs office determined that the price reported by the plaintiff was lower than the actual transaction price because there was a significant difference between the transaction price of similar goods and the production price investigated by the Korea Agro-Fisheries and Food Trade Corporation, but the reason for this difference was not sufficiently explained, and imposed taxation based on the normal market price.

The plaintiffs objected to this and filed a lawsuit with the Tax Tribunal requesting judgment and cancellation of customs duties.

3. Summary of judgment

(1) According to Article 30 of the Customs Act, in principle, the customs value should be calculated as the transaction price adjusted by adding the amount stipulated by the Customs Act to the amount actually paid or to be paid by the importer. If the declared price is significantly different from the transaction price of the same product or similar goods, the head of the customs office may request data from the taxpayer to prove that the declared price is true.

(2) If the customs value cannot be determined based on Article 30 of the Customs Act and the transaction price of goods of the same type, taxation shall be made sequentially based on the following prices.

- ① Comparison of transaction prices of products of the same kind
- ② Comparison of transaction prices of similar products
- ③ Based on domestic sales price

- ④ Calculated price
- ⑤ A flexible way to interpret the country of origin and shipping date
- ⑥ International transaction price and provenance price standard

(3) Article 26 of the Enforcement Decree of the Customs Act defines similar goods as goods produced in the country of origin of the imported goods in question, which, although not identical in all respects, perform the same function and have similar characteristics and similar components to enable replacement.

(4) In order to deny a reported transaction price, it is necessary to prove rather strictly that the price was not formed in a normal transaction.

(5) Even if a special relationship exists between the importer and the overseas supplier, the declared price may be recognized if there is no objective evidence that the relationship influenced the price decision.

(6) The court judged that the head of the customs office did not provide sufficient objective evidence for comparison in the process of calculating the normal price, and canceled the customs imposition.

4. Commentary

It can be acknowledged that the defendant customs office determined that ginger harvested in Shandong Province, China, which appears to be the production site of the goods in this case, was shipped within 30 days before and after the shipment date of the declared goods, and set the lowest price among them as the customs value, considering them to be similar goods. Therefore, taxation on this part is maintained. However, when the head of the customs office compares the prices of similar goods, the customs value must be calculated based on the priority of the method for determining the customs value, based on similar goods traded within 90 days before and after the date of shipment of the relevant goods. However, the part calculated based on the price of Chinese goods is not recognized. Therefore, some of the taxes imposed were illegal and were canceled.

5. Comments

Importers need to thoroughly prepare documents in preparation for the request for data from the head of customs office, such as transaction statements and proof of payment, to prove that the declared price is justified.

In particular, when the purchase is made cheaper than a typical transaction through a comprehensive contract, such as in this case, it may be difficult to support the truthfulness of the reported price with documents alone.

Meanwhile, if the head of the customs office wants to deny the declared price, he must rely on more specific and objective data, and it seems difficult to deny the declared price simply because it differs from the market price.



HS case solved by logic

How to Utilize the General Rule Through the Tempered Glass Classification Case (Tribunal 2023 0099)

1. Overview

Through a tax tribunal case on tempered glass, we will learn about whether tempered glass should be classified as an exclusive part of a specific product or based on its material.



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2. Claim of the claiming company

(1) A prism pattern was additionally processed in the item at issue to increase the power generation of solar power modules. In order to maximize the efficiency of solar power generation, the prism pattern creates numerous fine-sized prism shapes on the surface of the glass to prevent light reflection and loss from the surface of the solar power module, thereby enabling maximum light absorption by implementing a structure that can re-reflect and re-enter light incident from the sun several times for the light trapping effect. It is a highly functional surface structure processing technology designed and manufactured specifically for solar modules.

In addition, the item at issue was additionally processed with AR coating to increase the power generation of solar modules. Solar light is an electromagnetic wave and has the nature of waves, so when the thickness of the AR coating film is adjusted to be 1/4 of the wavelength of the incident light, the incident light and the reflected light have a phase difference of 180 degrees, which causes mutual extinction (destructive interference) and reduces reflectance, thereby improving light transmittance.

AR coating applied to the item at issue is a more difficult process than simple AR coating applied to general glass because the material, thickness, and refractive index of the anti-reflective film must be optimized to reduce light reflection or increase the absorption rate (light transmittance) of a specific wavelength.

When prism patterns and AR coating processing are performed on ordinary glass, as in the item at issue, a much larger amount of light can be transmitted and diffused than ordinary tempered glass to the extent that it can be seen with the naked eye, allowing the solar module to produce the amount of electricity originally designed.

(2) Since the degree of processing of the item at issue is beyond the degree of processing of general tempered glass specified in the heading 7007, the item at issue cannot be classified under the heading 7007.

Item classification is determined according to the tariff rate schedule as a common standard based on the "International Convention on The Harmonized Commodity Description and Coding System" (hereinafter referred to as the "HS Convention"), and must be strictly interpreted and applied as it affects tax administration. In HS Manual heading 7007, tempered safety glass is defined as 'heat-strengthened glass made through a process of reheating and rapidly cooling the glass,' so the degree of processing is at the level of heat-strengthened glass.

However, the item at issue is a product that has undergone additional special processing, such as optical processing that is not used in general tempered glass, to ensure that the solar module operates normally as originally designed, so it is a product that falls outside the processing level of tempered glass classified in heading 7007. The WCO (World Customs Organization) also decided at the 54th Harmonized System Committee (HSC) that, unlike the commentary for heading 7006, processing other than forming is not added to the processing degree of heading 7007, and this is also acknowledged by the Korean delegation. In other words, the item at issue cannot be classified under heading 7007 because it involves additional prism pattern formation and AR coating processing beyond the processing scope of heading 7007 safety glass as defined in the notes and terms of Chapter 70, etc., and must be classified as a part of a solar module corresponding to heading 8541.

(3) The product in question is a part that performs an essential function in a solar module and cannot be used for other purposes, so it must be classified under 8541. Parts 15, 16, 17, and 18 of the Tariff Schedule (HS) specify each item into which parts are classified, and the main regulations of each part stipulate how to classify parts. However, there are no separate definitions for parts, so if they meet the general parts definition standards and essential requirements, they must be classified as parts of a specific device.

The item at issue is ① custom-made for solar modules, so it cannot be used for a specific purpose on its own, ② it is used in combination with a solar module, ③ the solar module cannot operate normally unless it is combined with the item at issue, so the item at issue is an essential element, and ④ it is attached to the front of the solar module to not only safely protect the module from the external environment but also block moisture, salt, dust, etc., thereby increasing the efficiency of electricity generation. ⑤ Since it is designed and manufactured to be used exclusively or mainly for solar power modules, even if the solar power modules have the same purpose, an exclusive use is not possible if the models are different.

As above, the item at issue satisfies all the requirements for classification as general parts of solar modules, and since subheading 8541.90 specifically specifies 'parts of subheading 8541,' it should be classified as heading 8541.

3. Opinion of the Disposal Office

(1) Since the item at issue was presented alone at the time of import declaration, it should be classified as tempered safety glass under heading 7007, not as a solar module part under heading 8541, based on its main characteristics.

The classification of imported goods should be determined based on various objective factors such as the main characteristics, function, use, ingredients, and degree of processing of the goods at the time of import declaration, and then determine the corresponding item classification heading in accordance with the tariff rate schedule. Unless there are special circumstances, the subjective use of the duty payer for the goods or the actual use after import should not be considered (Supreme Court decision on January 12, 2012) 2011Du13491 ruling, same meaning).

When importing the item at issue, the claimant did not present it in combination with other solar module components such as solar cells, but instead presented the item at issue by itself. Therefore, the item at issue must be determined to be safety glass rather than a solar module part based on objective factors such as the characteristics and functions of the goods as of the time of import declaration.

Safety glass (limited to those made of tempered glass or laminated glass) is classified in heading 7007. In HS Explanation heading 7007, toughened (tempered) glass is defined as 'glass made by reheating the glass of a certain product to soften it to the point where it does not lose its shape and then rapidly cooling it through an appropriate process (heat-strengthened glass).' It has the characteristic of reducing the risk of injury from fragments because it does not become sharp when broken but breaks into pieces, and as safety glass, when combined with other products and has the shape of a part of a machine, device, or vehicle, it is classified together with the machine, device, or vehicle. Since the item at issue is tempered glass produced by reheating the glass of a certain product and then rapidly cooling it, and it is not combined with other parts of the solar module, it should be classified as heading 7007 according to the Explanation for heading 7007.

(2) AR coating and prism pattern processing of the item at issue cannot be considered outside the scope of glass processing permitted by Chapter 70.

The claimant asserts that the item at issue was custom-made for use exclusively in solar modules and has lost the characteristics of general tempered glass beyond the scope of processing permitted by Chapter 70, so it should be classified as a part of solar modules.

However, in headings 7003, 7004, and 7005, glass produced according to each processing method is classified, and the terms in each heading stipulate that 'limited to sheet shape, regardless of whether it is an absorbing layer, reflective layer, or non-reflective layer, and limited to glass that has not been processed in any other way.' 'Absorptive layer, reflective layer, and non-reflective layer are extremely thin layers of metal or chemical compounds (e.g., metal oxides) applied to absorb infrared rays, increase the reflective effect while maintaining the transparency or translucency of the glass, or to prevent light from being reflected from the glass surface.' As stipulated, AR coating for anti-reflection is a process permitted in Chapter 70.

(3) Customs authorities in other countries also classify tempered safety glass used in solar modules as heading 7007, like the item at issue.

In particular, the Japanese customs authorities regard similar products used in solar modules as: ① They are manufactured in a specific shape, but are only tempered glass and are not bonded to other materials; ② Tempered glass is specifically mentioned in heading 7007; and ③ In General Explanation (A) of Part 16 of the HS, 'This Part excludes goods that are more specifically listed in other parts and those excluded by the notes to Chapters 84 and 85. It is classified under heading 7007 on the grounds that it falls under 'excluded goods' in Part 16.

4. Hearing and judgment

Since the items at issue are not presented together with another item or with items to be combined, but are presented alone, they must be classified according to the nature and characteristics of the items at the time of import declaration. In the terminology of headings 7003 to 7006 and the related commentary, it is stipulated that the safety glass of heading 7007 is manufactured from the glass of headings 7003 and 7005, and the safety glass of heading 7007 to be excluded from headings 7003 to 7006. The processing

scope of heading 7007 appears to include the processing scope of headings 7003 to 7006. In the 71st HS Committee, the HSC-decided item at issue, which underwent more processing than the item at issue, was classified as heading 7007. In light of the 54th and 71st HS classification opinions, it appears the WCO divided the tempered safety glass of heading 7007 into the tempered glass of heading 7007 and parts of electronic devices of other headings based on whether conductive materials are printed or coated on the surface of the tempered glass under the premise that the provisions of Note 2 of Chapter 70 also applies to heading 7007. Many foreign glass manufacturers, including the exporter at issue, are selling not only patterned and AR-coated tempered glass, but also tempered glass with a lower degree of processing than the items at issue, such as regular glass and only AR-coated tempered glass, within the category of solar glass. The light transmittance of solar glass appears to be within 95% of the maximum. On the websites of other glass manufacturers, regular glass, glass with only AR coating, and tempered glass with pattern formation and AR coating are advertised that it is used for various purposes in addition to solar glass such as for greenhouses, for exhibition halls, for museum use or for displaying electronic products. The light transmittance of greenhouse glass is sometimes over 98%. Therefore, although patterned and AR-coated tempered glass like the item at issue has the effect of increasing the power generation efficiency of solar modules compared to regular tempered glass, it is difficult to determine that the item at issue is an essential part of solar modules for this reason alone. If the item at issue is excluded from heading 7007 in light of the fact that the degree of processing of the item at issue is considered to be outside the processing scope of heading 7007, when tempered glass that has undergone the same degree of processing as the item at issue is used for different purposes such as greenhouse glass, electronic device display or show windows, it appears that they should be classified under different item heading according to the purpose rather than heading 7007. While many domestic and foreign cases of classification of solar glass, such as the item at issue, have been confirmed as heading 7007, there are no confirmed cases of classification as parts of Class 85 electronic devices. The disposition office considers the item at issue as tempered safety glass of heading 7007. The rejection of the claimant's request for rectification is judged to be without error.

5. Conclusion

The request for adjudication in this case is decided as a ruling in accordance with Article 131 of the Customs Act and Articles 80-2 and 65, Paragraph 1, Item 2 of the Framework Act on National Taxes, as the claim is without merit as a result of the hearing.

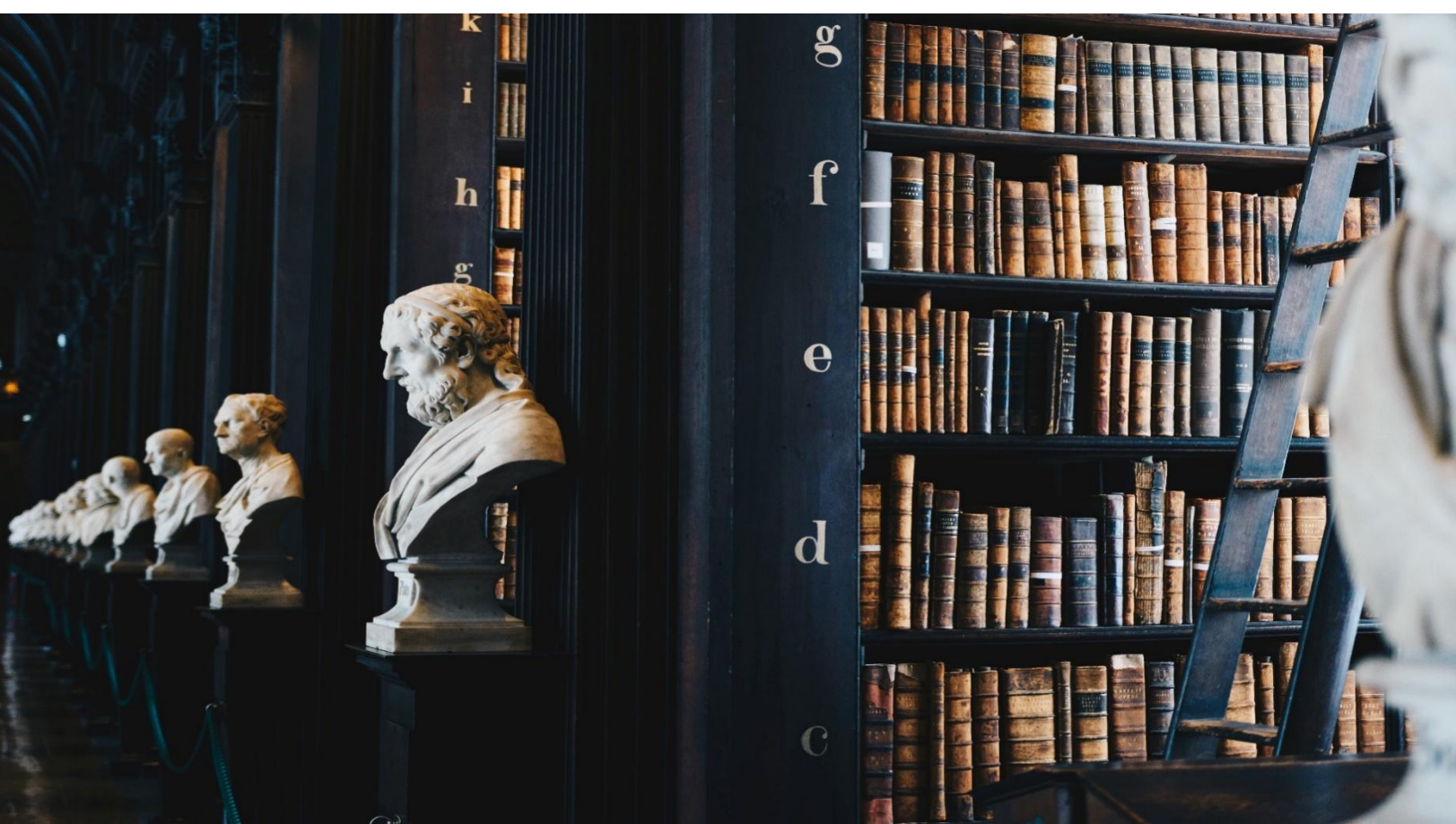
6. Commentary

Annex 1 of the Notice on Product Classification Application Standards stipulates general rules regarding HS interpretation. This stipulates the general principles when classifying items and must be kept in mind when classifying items. Following General Rule No. 1 (classified under specific HS code), the most frequently used Rule No. 3 (a) is as follows.

"The most specifically expressed heading takes precedence over the generally expressed heading. However, if two or more headings each specify only a part of a material or substance contained in a mixture or composite, or only a part of a set of goods for retail sale, each heading is regarded as a heading that expresses equally specifically for the goods, even if one of the headings expresses the goods more completely or in detail than the other headings."

As one of the examples of General Rule No. 3 (a), the HS commentary stipulates tempered glass as follows. "Unframed safety glass consisting of tempered or laminated glass, recognized as being used in aircraft, but not processed to a degree beyond forming, shall not be classified in heading 8807 as parts of articles of heading 8801, 8802 or 8806, but shall be classified in heading 7007, where it is more specifically described as safety glass."

Looking at the above example, it can be confirmed that tempered glass used in aircraft is classified under heading 7007, which specifically specifies tempered glass, not aircraft-specific parts. In the case of glass used in aircraft, it can be seen that it is not classified as an exclusive part of aircraft even though it has been specially treated to increase strength and other factors than ordinary tempered glass. By the same principle, it can be seen that in order to increase the power generation of solar modules in the tax tribunal case, special processing should be classified as tempered glass and as specified under heading 7007 for tempered glass, not an exclusive part of solar modules.



Global Customs Insight

Reciprocal Tariff implemented in the U.S. from April 5

As U.S. President Donald Trump begins his second term in office, he is actively imposing tariffs on imported goods under the slogan "Make Great America Again." In particular, announced on April 2, 2025, '**Executive Order to Restrict Imports and Correct the U.S. Merchandise Trade Balance Deficit through Reciprocal Tariffs**' is based on the International Emergency Economic Powers Act (IEEPA). It contains strong measures to **impose high tariffs on countries with trade deficits** and apply a **10% basic tariff worldwide from April 5**.



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These measures **not only can lead to a global trade dispute, but it can also have a significant impact on Korean companies and the national economy, which has a high proportion of exports to the United States, so a careful response is required.**

1. Background of tariff imposition

The U.S. merchandise trade deficit has increased by more than 40% over the past five years, reaching \$1.2 trillion in 2024. The average MFN tariff in the U.S. is low at 3.3%, but that of other countries is high. Non-tariff barriers (import permit requirements, technical barriers, quarantine, etc.) weaken the competitiveness of U.S. exports, favoring other countries' exports.

2. Main Contents of Reciprocal Tariff

1) To **all goods** Imported to the United States, about **10% tariff imposed (from 00:00 on April 5, 25)**

- However, this does not apply to items shipped and in transit before 00:00 on April 5, 2025.

2) **Countries corresponding to Annex 1 (Korea), impose about (25%~26%) Tariff (From 00:00 on April 9, 25)**

- However, this does not apply to items shipped and in transit before 00:00 on April 9, 2025.

* In the announcement, the tariff rate was said to be 25% for Korea, but in the actual Annex 1 table of the executive order, Korea is listed as 26%.

(EU-20%, Japan 24%, India 27%, China 34%, Taiwan- 32%, Vietnam 46%, etc.)

Example) When exporting LED lamps (9405.11.4010) to the US, a tariff of 29.9% or 26% is applied when the Korea-US FTA is applied.

* MFN: 3.9% (Korea-US FTA 0%) + 10% (from April 5) + 16% (from April 9) = **29.9% (Korea-US FTA 26%)**

3) Exception items (Annex II)

- Exceptions to strategic items: military supplies, medicine, semiconductors, energy, copper, some minerals, lumber, etc.
- Application by product: Steel and aluminum (25%), automobiles and automobile parts (25%), semiconductors and pharmaceuticals (to be announced in the future)
- USMCA recognized origin products: tariff exemption. However, non-originating items are subject to an additional 25% tariff.
- When 20% or more of American parts are included: Customs duties are excluded on the value of the parts.

However, CBP may request submission of supporting documents.

4) **Action validity period**- Valid until the President determines that the conditions have been resolved.

5) If a trading partner country imposes retaliatory tariffs or other export restrictions, the United States' corresponding tariffs may be strengthened, and if a trading partner country implements fair trade measures and cooperates with the United States, tariff rates may be lowered.

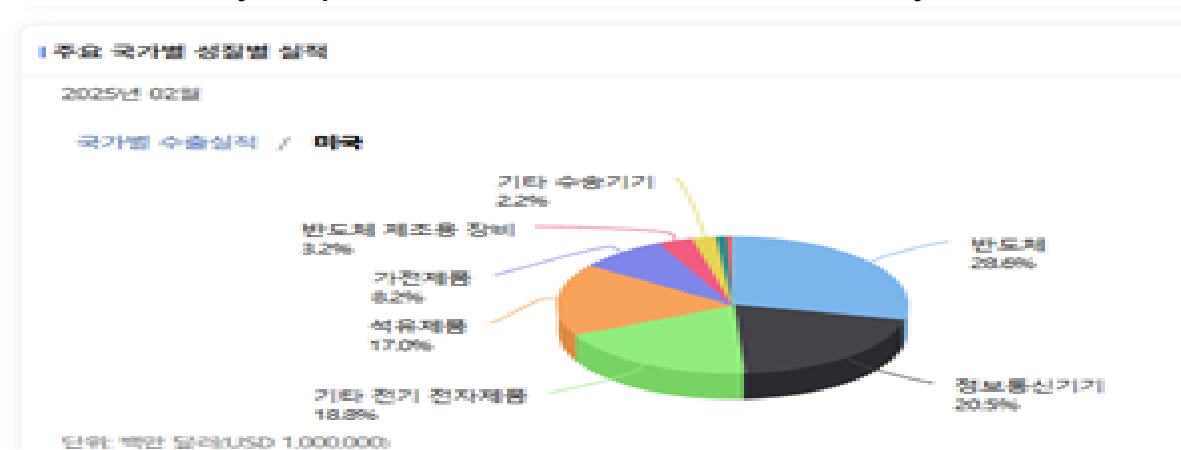
According to the Korea Customs Service's import and export trade statistics, Korea's top export country as of 2025 is the United States, and major export items include automobiles, semiconductors, petroleum products, and batteries. From **25% tariff on steel and aluminum (effective from March 12), 25% tariff on automobiles and automobile parts (automobiles - effective from 00:00 on April 3, automobile parts - effective from 00:00 on May 3), to reciprocal tariffs to be imposed from April 5**, the US tariff policy that changes overnight can give a **direct blow to Korea's export industry and national economy**. There is an urgent need for wise wisdom and proactive strategies on how the government, businesses, academia, and customs brokers can work together to resolve this crisis.

<Table 1. Trade balance with the United States over the past five years>

Unit: thousand dollars

year	amount		trade balance	attrition rate
	export	import		
~2025.3	19,205,311	11,563,706	7,641,605	40%
2024	127,761,371	72,132,305	55,629,066	44%
2023	115,696,334	71,272,030	44,424,304	38%
2022	109,765,705	81,784,723	27,980,983	25%
2021	95,901,955	73,213,414	22,688,542	

<Table 2. Major export items to the United States in February 2025>



Semiconductors: 28.6%

Equipment for Information and Communication: 20.5%

Other Electrical and Electronic Products: 18.8%

Petroleum Products: 17%

Electric Home Appliances: 8.2%

Equipment for Manufacturing Semiconductors: 3.21%

Other Transport Equipment: 2.2%

* Reference site: White House <https://www.whitehouse.gov/>

Source: Export and Import trade statistics <https://tradedata.go.kr/> Customs broker Cha Mi-jeong

Footnote: This manuscript was prepared as of April 2, 2025, and no further changes have been reflected. If you have any questions about the related changes, please feel free to contact us



FTA and import/export practical business guide

Why Does the Customs Attorney Ask the Information Required for Export Declaration?

The basic documents required for export declaration are an invoice and packing list containing the trading partner, product price, and packaging information. However, even though these basic documents have been prepared and provided to the customs Attorney, there are additional questions that the customs Attorney asks the exporter. We will guide you on some of the frequently requested confirmations.

Location of goods

When reporting exports, not only the basic information of international transactions such as transaction parties, export country, product name, HS CODE, and price, but also information related to the movement of the goods, including the location of the goods are reported.



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If the customs inspection of exported goods occurs and the location of the declared goods is different from the actual location of the goods, the original export declaration may need to be corrected or withdrawn depending on the situation. In this case, error scores, compliance with laws and regulations, and the inspection rate of future export and import declarations may also be affected.

① 신고자 신한관세법인	⑤ 신고번호 44804-25- X	⑥ 세관.과 020-C4	⑦ 신고일자 2025-03-21	⑧ 신고구분 H 일반P/L신고	⑨ C/S구분 A
② 수출대행자 (통관고유번호)		⑪ 거래구분 11 일반형태	⑫ 종류 A 일반수출	⑬ 결제방법 TT 단순송금방식	
수출화주 (통관고유번호)		⑭ 목적국 CN PRC	⑮ 적재항 KRINC 인천항	⑯ 선박회사 (항공사)	
(주소)		⑰ 선박영양공면명	⑱ 출항예정일자	⑲ 적재예정보세구역 02099999	
(대표자)		⑳ 운송형태 10 FC	㉑ 검사희망일 2025/03/21		
(사업자등록번호)		㉒ 물품소재지			

Detailed information about the product, HS CODE

HS CODE is basic information when conducting trade transactions. The HS CODE, which is classified according to the nature of the product, has up to 6 digits and is common throughout the world. When making an import/export declaration, the appropriate HS CODE corresponding to all digits must be reported for each export/import country.

⑥ 세번부호	2106.90-9099	⑦ 순중량	(KG)	⑧ 수량	0 0	⑨ 신고가격(FOB)	\$ 14,080 ₩20,443,033
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However, in some cases, it is difficult to determine the HS CODE just from the product name written on the invoice, so if a customs Attorney inquires the details of the goods being exported or imported, you must provide sufficient information to identify the goods, such as the product description or catalog.

Export declaration freight, insurance premium

As a trade transaction is a transaction between parties, delivery conditions such as EXW, FOB, CIF, etc. can be freely determined according to the agreement of the transaction parties. However, even if the transaction terms between the parties are not FOB when reporting exports, the FOB price must also be reported.

㉔ 총중량	(KG)	㉕ 총포장갯수		㉖ 총신고가격 (FOB)	\$ 14,080 ₩20,443,033
㉗ 운임(₩)	1,300,000	㉘ 보험료(₩)	35,766	㉙ 결제금액	CIF - USD - 15,000

Column 45, Total declared price (FOB): The amount equivalent to FOB even if the delivery condition of the actual transaction is not FOB.

Column 49, Payment amount: Delivery conditions, transaction currency, and amount according to the actual transaction.

For example, if the transaction terms are CIF, the FOB amount is reported excluding freight and insurance to report the FOB price. To do this, the customs Attorney may request confirmation of the freight and insurance. The FOB price reported in this way is used to determine the country of origin based on value added for issuing FTA origin certificates, and is also used to calculate export performance statistics.



Contents and Opinion of Customs Trade Amendment **[Notice on Refund Following Reduction of Individual Automobile Consumption Tax]**

1. Outline

After the Covid-19 outbreak, the new car market continues to decline, and the automobile market is at risk of recession due to household debt, shrinking of consumer sentiment, and slowdown of the demand for electric vehicles. Accordingly, the government decided to reduce the individual consumption tax levied on automobiles to stimulate domestic demand. In relation to this, we would like to inform you of the notice on the refund in accordance with the reduction of individual automobile consumption tax, so please refer to it in your work.

2. Reduction details

- Period: Jan. 3rd, 2025 ~ June 30th, 2025
- Item: Car

(Individual Consumption Tax Act, Article 1, Paragraph 2, Item 3, A, B, and C, and Appendix 1, Item 5, A through D of the Enforcement Decree of the same Act)



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- Individual consumption tax rate: (basic) 5% → (flexible) 3.5%

3. Refund due to individual consumption tax rate reduction

1) Refund Applicant

The duty payer of imported goods applies to the head of the customs office (If delegated by the duty payer, a customs broker can report on behalf of the duty payer.)

2) Detailed refund procedure

division	import declaration prior to Jan. 2nd 2025	Import declaration during Jan. 3rd, 2025 ~ Feb. 27th, 2025
Eligible for refund	Goods held and not sold to consumers at the time of Jan. 3rd, 2025	Goods whose import declaration has been accepted by applying the basic tax rate
Application period	Feb. 28, 2025 ~ Apr. 5, 2025	Feb. 28, 2025 ~ Apr. 25, 2025
Confirmation documents	Import/tax return correction approval, refund application, import declaration certificate, imported goods reversal confirmation application, inventory product confirmation, sales confirmation (tax invoice, automobile Proof of possession, such as registration certificate)	Import/tax return correction approval, refund application form, import declaration certificate, etc.
etc significant	Return to the refund location pursuant to Article 7 of the "Notice on Refund of Individual Consumption Tax and Liquor Tax, etc. on Imported Goods" (confirm actual product) (If the possession details at the time can be confirmed with confirmation documents, the actual product verification can be omitted)	

3) Payment of refund

The head of the customs office refunds the tax rate reduction amount* to the person liable for paying taxes on imported goods.

Refund limit per taxable product: individual consumption tax (KRW 1 million), education tax (KRW 300,000), value-added tax (KRW 130,000)

In case of conflict between the "Notice on Refund of Individual Consumption Tax and Liquor Tax, etc. on Imported Goods," these guidelines shall take precedence.

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